

August 24, 2026 04:01 AM GMT

Lumentum Holdings Inc | North America

# 6th Nasdaq Virtual Asia Investor Conference Recap: Strong Demand Signals Across All Businesses

Post strong FQ4 results, LITE's session focused on growing ways in which the company would participate across data center investment, particularly as the move of optics into scale-up occurred. Co continues to be enthusiastic about NPO, talking about potential deals being signed in "coming months".

We hosted Lumentum's Head of Investor Relations, Kathy Ta, for an investor meeting on Tuesday, August 18th.

Key Takeaways:

- **NPO opportunity as compelling as CPO, with announcement of deal potentially in "coming months".** Investor inquiries post the quarter have been high around content in potential NPO (near-packaged optics) implementations vs. CPO (co-packaged optics). The company noted that there is variability between types of implementations, but that in general the content is about the same. With an ELS (external laser source) implementation, the content still involves a UHP (ultra high powered) laser, where the content should generally be the same as a CPO implementation. On an NPO that is more in the box, the laser may be lower power, hence cheaper, but could see content be the same or more if create more of the optical engine package for the customer. Both types of implementations are expected to be above corporate average margins. Perhaps most encouragingly, the company noted that they could sign a deal in the "coming months", likely sooner than indicated on the FQ4 earnings call.
- **Demand signals improving in CPO (scale-out) and OCS.** Echoing what we heard on earnings, LITE spoke to upside they are seeing in demand across CPO and OCS (optical circuit switching). The noted that the upside on CPO is across scale-out, which means some of that upside could be seen later this calendar year. For OCS, the company noted that their lead customer continues to upsize orders, and they are unclear whether because of share as the company has figured out some production kinks, or just underlying demand has been upsized by the customer. When questions about competitive solutions came up, they noted they had little to add on recent online reports, but did want to see a multi-vendor ecosystem emerge.
- **Any potential FCC rules would likely need to be phased in.** Another question that came up following earnings had to do with reports about [potential FCC rules](#) in early August. The company noted that the FCC had

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| Lumentum Holdings Inc (LITE.O, LITE US)                   |                   |        |        |        |  |
|-----------------------------------------------------------|-------------------|--------|--------|--------|--|
| Telecom & Networking Equipment   United States of America |                   |        |        |        |  |
| Stock Rating                                              | Equal-weight      |        |        |        |  |
| Industry View                                             | In-Line           |        |        |        |  |
| Price target                                              | \$1,000.00        |        |        |        |  |
| Shr price, close (Aug 21, 2026)                           | \$866.71          |        |        |        |  |
| Mkt cap, curr (mm)                                        | \$75,165          |        |        |        |  |
| 52-Week Range                                             | \$1,085.68-115.21 |        |        |        |  |
| Fiscal Year Ending                                        | 06/26             | 06/27e | 06/28e | 06/29e |  |
| ModelWare EPS (\$)                                        | 6.55              | 19.17  | 32.78  | 44.25  |  |
| EPS (\$)**                                                | 8.68              | 21.10  | 34.64  | 46.05  |  |
| Div yld (%)                                               | -                 | -      | -      | -      |  |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework  
\*\* = Based on consensus methodology  
e = Morgan Stanley Research estimates

| QUARTERLY EPS (\$) |      |             |               |             |               |
|--------------------|------|-------------|---------------|-------------|---------------|
| Quarter            | 2026 | 2027e Prior | 2027e Current | 2028e Prior | 2028e Current |
| Q1                 | 1.10 | -           | 4.22          | -           | 7.49          |
| Q2                 | 1.67 | -           | 4.96          | -           | 8.62          |
| Q3                 | 2.37 | -           | 5.55          | -           | 8.98          |
| Q4                 | 3.23 | -           | 6.33          | -           | 9.53          |

e = Morgan Stanley Research estimates

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been in contact with them about potential rules, with the company noting their feedback was that the rules would need to be phased in over time to prevent material supply / demand dislocation in the market with 60-65% of transceivers coming from China-based transceiver vendors. They also noted that pure transceiver volumes alone, at current pricing structures, would not be the most attractive business for them to bring on.

- **LTAs limit pricing volatility in UHP, pump lasers; more chances to capture upside in CW.** Given reports of competitive supply coming on, the company noted that they have LTAs that limit any pricing volatility in UHP and pump lasers (telco and CPO opportunities mostly). They also noted that where they have been able to see more upside is in the CW market, where competitive decommits, combined with improvements in their own supply as die sizes have decreased, have allowed them to capture upside from "expedite fees". They noted on questions about EML vs. CW demand that it is tough for them to give a full market view given their demand is ~90% EML / ~10% CW (in a few quarters getting to ~80% / ~20%).

## Valuation Methodology and Risks

### **Lumentum Holdings Inc (LITE.O)**

25x CY28 P/E of ~\$40. ~25x is a premium to historical trading range given AI growth outlook

#### **Risks to Upside**

- Datacom ramps and revenue mix more attractive vs. expectations
- OCS ramps quickly, bringing additional revenue / profitability source
- AI demand remains strong, causing EML business to outperform and drive profitability
- CPO / NPO ramp faster than expected

#### **Risks to Downside**

- EML pricing falls given oversupply on reduced AI demand
- CW takes share from EML
- Cloud Light hurts ability to improve margins
- Pushout in CPO timing

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|--------------------------|-------------------|------------|----------------------------------|----------------|-------------------------|------------------------------------------------------|--------------------------|
|                          | Count             | % of Total | Count                            | % of Total IBC | % of Rating<br>Category | Count                                                | % of Total Other<br>MISC |
| Overweight/Buy           | 1529              | 42%        | 442                              | 47%            | 29%                     | 750                                                  | 43%                      |
| Equal-weight/Hold        | 1582              | 43%        | 396                              | 42%            | 25%                     | 773                                                  | 44%                      |
| Not-Rated/Hold           | 3                 | 0%         | 1                                | 0%             | 33%                     | 1                                                    | 0%                       |
| Underweight/Sell         | 560               | 15%        | 97                               | 10%            | 17%                     | 217                                                  | 12%                      |
| Total                    | 3,674             |            | 936                              |                |                         | 1741                                                 |                          |

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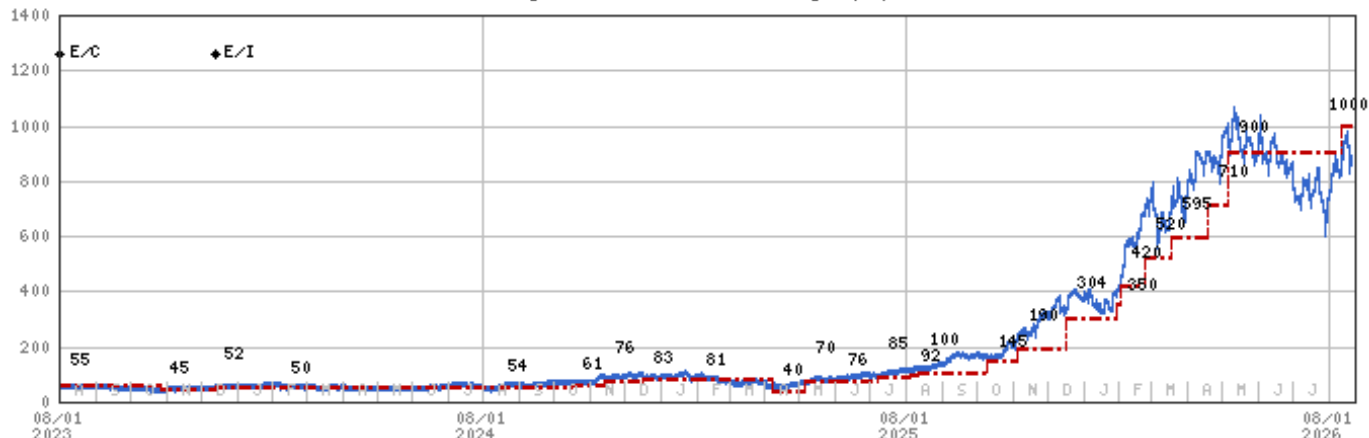
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## INDUSTRY COVERAGE: Telecom & Networking Equipment

| COMPANY (TICKER)                        | RATING (AS OF) | PRICE* (08/21/2026) |
|-----------------------------------------|----------------|---------------------|
| <b>Meta A Marshall</b>                  |                |                     |
| Arista Networks (ANET.N)                | O (10/31/2023) | \$188.65            |
| Axon Enterprise Inc (AXON.O)            | O (12/03/2024) | \$627.75            |
| Ciena Corporation (CIEN.N)              | E (10/10/2025) | \$395.79            |
| Cisco Systems Inc (CSCO.O)              | O (04/08/2024) | \$111.04            |
| Coherent Corp (COHR.N)                  | E (12/13/2023) | \$289.52            |
| Corning Inc (GLW.N)                     | E (06/13/2024) | \$149.84            |
| F5 Inc (FFIV.O)                         | E (04/12/2022) | \$384.63            |
| Keysight Technologies Inc (KEYS.N)      | O (07/13/2026) | \$316.13            |
| Lumentum Holdings Inc (LITE.O)          | E (05/12/2021) | \$866.71            |
| Motorola Solutions Inc (MSI.N)          | O (12/17/2025) | \$480.47            |
| Zebra Technologies Corporation (ZBRA.O) | E (12/02/2024) | \$368.51            |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.